Kin Group Gini: An Extended Family Approach to Income and Wealth Inequality in the U.S.

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Abstract

Most macro-level studies of inequality treat the household as the primary unit of analysis, focusing on disparities between households. As a result, despite increasing acknowledgment of the importance of extended family ties, far less is known about inequality between extended families. We examine income and wealth inequality in the United States using both households and intergenerational extended families—hereafter referred to as "kin groups." Using data from the Panel Study of Income Dynamics (PSID), we calculate Gini coefficients for income and wealth at the household and kin group levels from 1969 to 2023. We find that income and wealth inequality are high at both levels, with inequality 20-30 percent lower when measured at the kin group level than at the household level. Over time, wealth inequality has increased at similar rates across both units, whereas income inequality has grown more rapidly at the kin group level. Comparing Lorenz curves from 1984 and 2023, we show that wealth inequality varied more across units of analysis (households vs. kin groups) than over time, whereas income inequality varied more over time than across units. Finally, the median racial wealth gap between Black and non-Black kin groups is ten percentage points lower than the analogous gap between Black and non-Black households. These findings underscore the importance of considering both extended families and households when examining contemporary patterns of inequality in the United States.

Significance Statement

Economic inequality in the United States is typically measured between households, leaving inequality between extended families largely unexplored. Using more than five decades of data from the Panel Study of Income Dynamics, we show that income and wealth inequality between intergenerational extended families are between 20-30 percent lower than inequality between households, a finding that holds across all survey years. However, income inequality between extended families has increased more rapidly than household income inequality over time. Together, these findings demonstrate the importance of considering both extended families and households when exploring contemporary patterns of inequality.

Introduction

Income and wealth inequality have increased sharply in the United States from the 1960s to the present. This trend is evident in the Gini index, a widely used measure of inequality ranging from 0 (perfect equality) to 1 (perfect inequality). For instance, the U.S. household-level income Gini rose from 0.369 in 1967 to 0.418 in 2023 [1]. Similarly, the U.S. household-level wealth Gini increased from 0.79 to 0.85 from 1989 to 2019 [2, 3].

The Gini and other important measures of inequality, like the racial wealth gap, are typically calculated at the household level [4, 5]. As a result, research on inequality tends to focus on differences between households [6]. This emphasis aligns with broader social-science practice, where households serve as the main unit of analysis. In doing so, scholars are largely centering nuclear families, reflecting longstanding assumptions about the primacy of the nuclear family and the diminished role of extended kin in the U.S. and other high-income industrialized nations [7, 8].[1] Data availability reinforces this orientation: most large surveys, including the Survey of Income and Program Participation and the Survey of Consumer Finances, are designed around households, limiting researchers' ability to study inequality beyond the nuclear family.

Yet this predominant focus on households overlooks the fact that households are embedded in larger kin networks that structure obligations, cooperation, and access to resources. Such ties advantage and constrain households, shaping resource accumulation beyond parent-child transmission. Indeed, a growing body of research suggests that social scientists have underestimated the importance of the extended family in studies of inequality [5, 10–12]. Research on elites similarly highlights the importance of extended family networks in maintaining wealth across generations [11]. Such insights have prompted renewed attention to the role extended family members play in the transmission of (dis)advantage [13]. Scholars show that individual extended family members such as grandparents, aunts, uncles, and cousins transfer resources, impacting individuals' socioeconomic status [14–16], and that these resource flows often continue even when family members live geographically far apart [16]. Yet despite these insights, most macro-level studies of inequality—such as those that calculate the Gini coefficient or estimate the racial wealth gap—continue to treat households, or occasionally individuals, as the primary unit of analysis. Consequently, scholars have documented patterns of inequality between households, but know little about inequality between extended families.

Drawing on scholarship showing the importance of extended families, we ask: what does income and wealth inequality in the U.S. look like when examining intergenerational extended families—what we refer to as "kin groups." To ease interpretation, we compare kin group estimates to the dominant unit of analysis, households. In our empirical analyses, we use data from the Panel Study of Income Dynamics (PSID), a longitudinal survey that has followed a nationally representative sample of American households and their descendants since 1968.

We calculate household and kin-group Gini coefficients for both income and wealth, as well as the racial wealth gap, using all available PSID years up to 2023. The relationship between households and kin groups can be understood as an extension of the relationship between individuals and households. Individuals tend to form households with others who have similar socioeconomic characteristics through marital homogamy [17]. Resources are thus concentrated within households, increasing disparities between them. If analogous mechanisms sort households into kin groups, kin groups may represent an important—and underexamined—unit for understanding the concentration of economic resources.

Results

Sample characteristics. Table 1 reports descriptive characteristics of households and kin groups across the study period, providing context on relative unit size and composition before we turn to inequality estimates.

Table 1. Characteristics of Households and Kin Groups

	All years (1969–2023)	
	Households	Kin Groups
Average age (years)	33.5	31.4

[1] The exception is multi-generational co-residing households, which comprise about 20% of U.S. households [9]. In this case, a focus on households elevates the importance of live-in extended family members and downplays the importance of extended family members who do not co-reside.

Table 1. Characteristics of Households and Kin Groups

	All years (1969–2023)	
	Households	Kin Groups
Average # of people	2.38	9.31
Average # of households	—	3.61
Median income	$71,434	$266,143
Median wealth	$93,100	$697,312
N (unit-years)	242,200	64,292
N Black (unit-years)	92,286	22,028

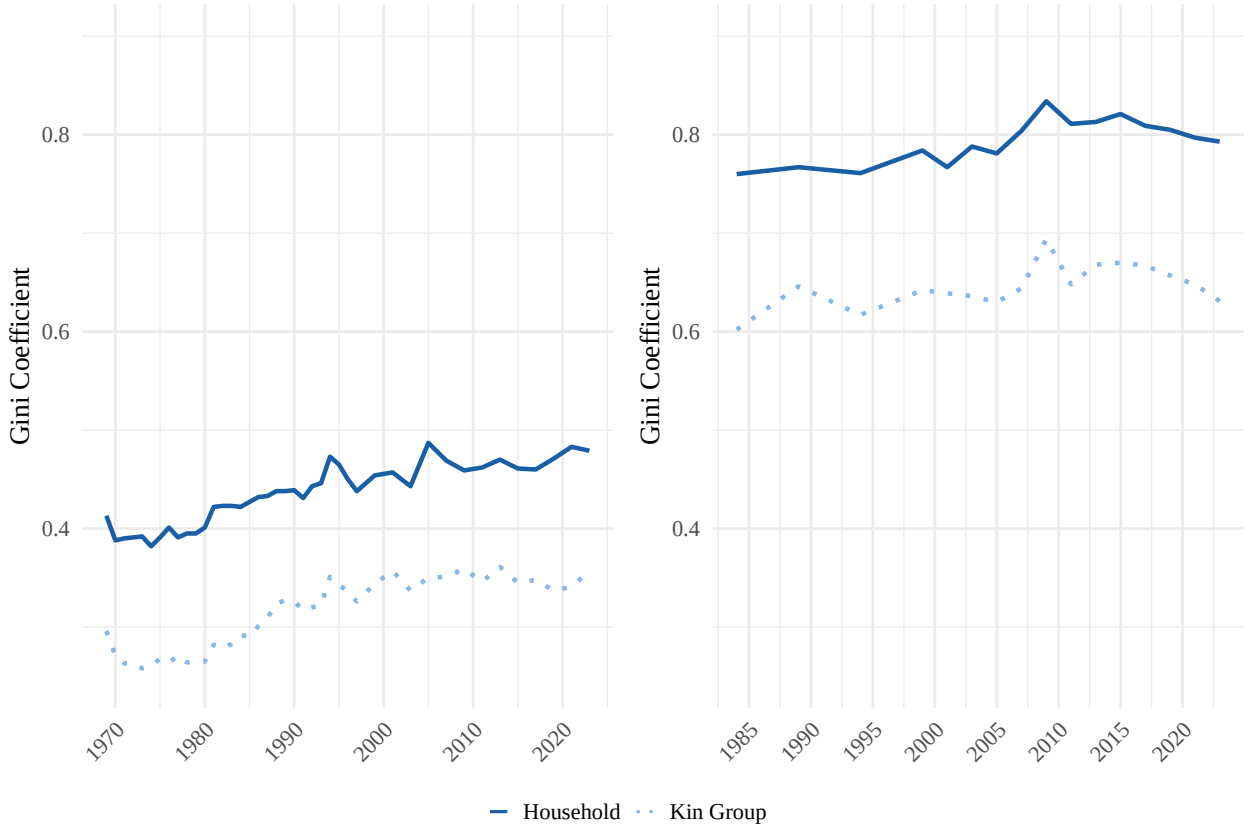
Note: Average age, number of people, and number of households are based on the income sample (1969-2023), which contains 2,906 unique kin groups. Median wealth is based on the wealth sample (1984-2023) and includes home equity. Size and median values are weighted using PSID family and constructed kin group weights (see Methods). Pooled across all years, the wealth sample contains 122,069 household-years and 26,655 kin group-years (46,287 and 8,470 Black, respectively) from 2,636 unique kin groups, with an average size of 2.27 individuals per household and 10.56 individuals (4.18 households) per kin group, and an average age of 36.3 for households and 34.1 for kin groups. Median income and wealth include households and kin groups with negative income or wealth. Estimates are weighted, adjusted for inflation, and expressed in 2023 dollars.

Gini coefficients at the household and kin group levels. Figure 1 depicts income and wealth inequality for all households and kin groups over time. Reflecting data availability in the PSID, Panel A plots income Gini coefficients from 1969 to 2023 and Panel B plots wealth Gini coefficients from 1984 to 2023. Figure 1 shows that inequality is substantial under both measurement approaches. Yet inequality levels depend on the unit of analysis. Wealth and income Ginis measured at the kin group level are roughly 70%-80% the levels of their respective Ginis measured at the household level, a pattern that holds over the study period. The average income Gini coefficient is 0.43 at the household level versus 0.31 at the kin group level. For wealth, the average Gini coefficient is 0.79 at the household level versus 0.65 at the kin group level.

Placing kin group estimates alongside historical household benchmarks helps contextualize contemporary inequality. The most recent kin group income Gini (0.36 in 2023) is only slightly lower than the household income Gini of the early 1970s (0.39 on avg. from 1971-1973)—a level long considered a local minimum. Relatively high kin group inequality has similar Gini values to relatively low household inequality. Kin group wealth inequality, by contrast, has not approached historically observed household-level wealth inequality over the period we examine.

Figure 1. Income and Wealth Inequality Over Time

Panel A: Income inequality from 1969 to 2023 Panel B: Wealth inequality from 1984 to 2023



Note: Gini coefficients estimated from weighted PSID data. Across all years, median (mean) income is $71,434 ($96,668) for households and $266,143 ($367,492) for kin groups. Median (mean) wealth is $93,100 ($449,298) for households and $697,312 ($1,750,406) for kin groups, including home equity. Negative income and wealth values are set to zero for calculating Gini coefficients, but are retained in the median and mean estimates reported here. Estimates are weighted, adjusted for inflation, and expressed in 2023 dollars. Income Ginis changed by 16.0% for households (0.41 in 1969 to 0.48 in 2023) and by 20.6% for kin groups (0.30 to 0.36). Wealth Ginis changed by 4.3% for households (0.76 in 1984 to 0.79 in 2023) and by 4.8% for kin groups (0.60 to 0.63). On average across all years, the income Gini is 0.123 higher for households than kin groups; the wealth Gini is 0.147 higher.

We find inequality is higher for wealth than for income at both kin group and household levels. This finding is consistent with prior research showing how wealth accumulates over time and generations, retaining the imprint of earlier opportunities and constraints in a way that income does not [5, 18]. As such, wealth reflects long-run inequality and intergenerationally accumulated advantages and disadvantages.

Change over time in household- and kin group-level income inequality differ. At the household level, income inequality rose by 16.0% from 0.41 in 1969 to 0.48 in 2023. At the kin group level, income inequality rose more sharply – by 20.6% - from 0.30 to 0.36 over the same period. Thus, while income inequality increased at both levels, the growth was faster when measured at the kin group level. Unlike income inequality, household and kin group wealth inequality increased at similarly modest rates over the study period. Importantly, these trends reflect inequality within a population that excludes the very top of the wealth distribution. The PSID does not adequately sample the wealthiest individuals, who drive much of the inequality in wealth [19, 20]. Therefore, these patterns indicate stable wealth inequality, for both households and kin groups, among the bottom 95%.

Lorenz curves for 1984 and 2023. Figure 2 illustrates differences in income and wealth inequality estimates using Lorenz curves–which are often used to depict Gini coefficients at a single point in time –

in 1984 (blue) and 2023 (orange). Appendix F reports household and kin group characteristics for both years. Lorenz curves plot the cumulative share of income or wealth against the cumulative share of the population—whether defined as households or kin groups. Perfect equality appears as a 45° line where income or wealth is distributed evenly; greater inequality pulls the curve farther below this line. The Gini summarizes this deviation from perfect equality. Comparing household- and kin group-level Ginis at two points contextualizes differences by unit by juxtaposing them with how the two measures of inequality have shifted over the years.

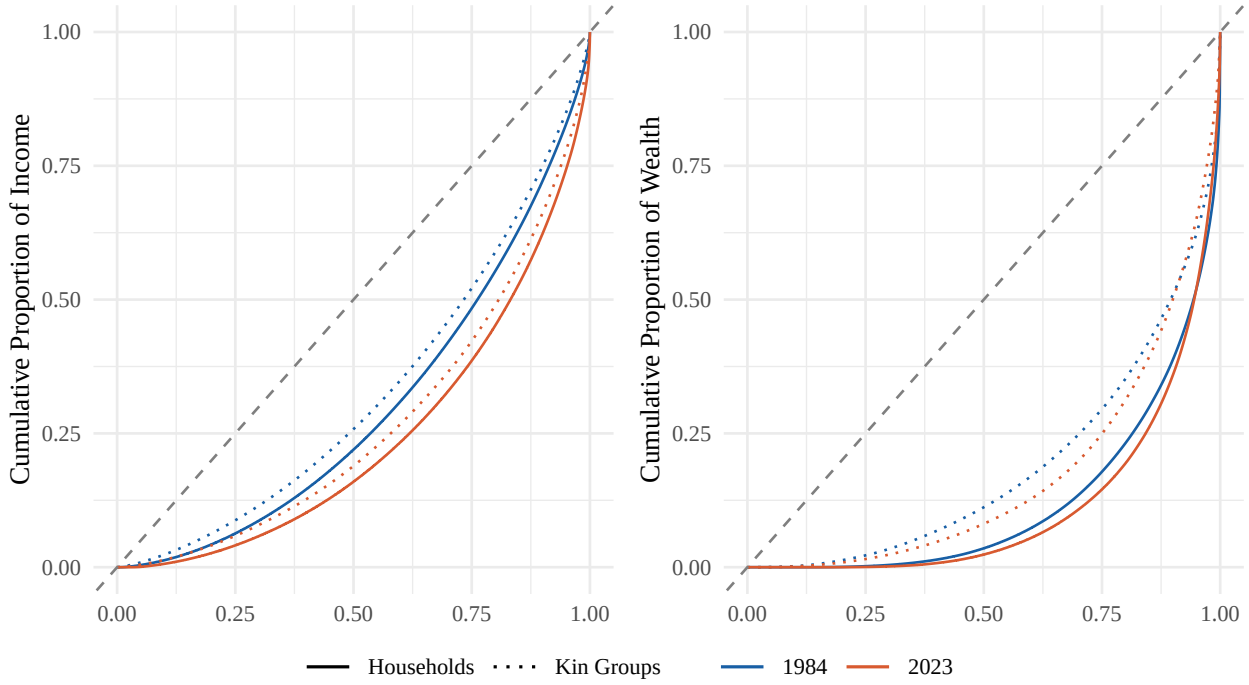
These curves juxtapose two inequality trends: differences in how income and wealth inequality change over time, and differences in inequality across units of analysis. Panel A mirrors Figure 1 Panel A in showing that household inequality (solid) is consistently higher than kin group inequality (dotted), and that income inequality in 2023 (orange) was higher than income inequality in 1984. All curves lie below the 45-degree dashed line representing perfect equality, but the 2023 curves fall further from this line than the 1984 curves, and each household curve falls further from this line than its respective kin group curve. Panel B similarly mirrors Figure 1 Panel B. Wealth inequality has increased from 1984 to 2023 and is greater at the household level than the kin group level at each year. Figure 2 also mirrors Figure 1 by showing that wealth is more unequally distributed than income in both years, with Panel B curves falling further from the line of equality than Panel A curves.

Comparing the two panels, however, reveals two additional key differences between income and wealth inequality. First, the gap between household (solid) and kin group (dotted) wealth curves (Panel B) is large and often exceeds the shift between 1984 (blue) and 2023 (orange) curves. This suggests that differences across units of analysis are more pronounced than changes over time for wealth. This, however, is not the case for income (Panel A). For income, gaps between household (solid) and kin group (dotted) curves appear smaller, and for the most part smaller than differences between 1984 (blue) and 2023 (orange) curves. Taken together, these findings indicate that wealth inequality varies more across units than over time, while income inequality varies more over time than across units.

Second, differences between inequality measured across the two units are driven by different parts of the income and wealth distributions. In both 1984 and 2023, the kin group lines (dotted) separate from the household lines (solid) across the entire distribution for income (Panel A), but mostly in the middle of the distribution for wealth (Panel B). These differences, which are partially but not entirely generated by the greater prevalence of zero wealth than zero income, mean that the gap between household and kin group wealth inequality are driven by those at the middle of the wealth distribution, whereas the gap between household and kin group income inequality capture differences between units across the entire distribution—from those with the lowest incomes to those at the top of the income distribution captured by the PSID.

Figure 2. Lorenz Curves at the Household and Kin Group Levels

Panel A: Distribution of income in 1984 and 2023 Panel B: Distribution of wealth in 1984 and 2023

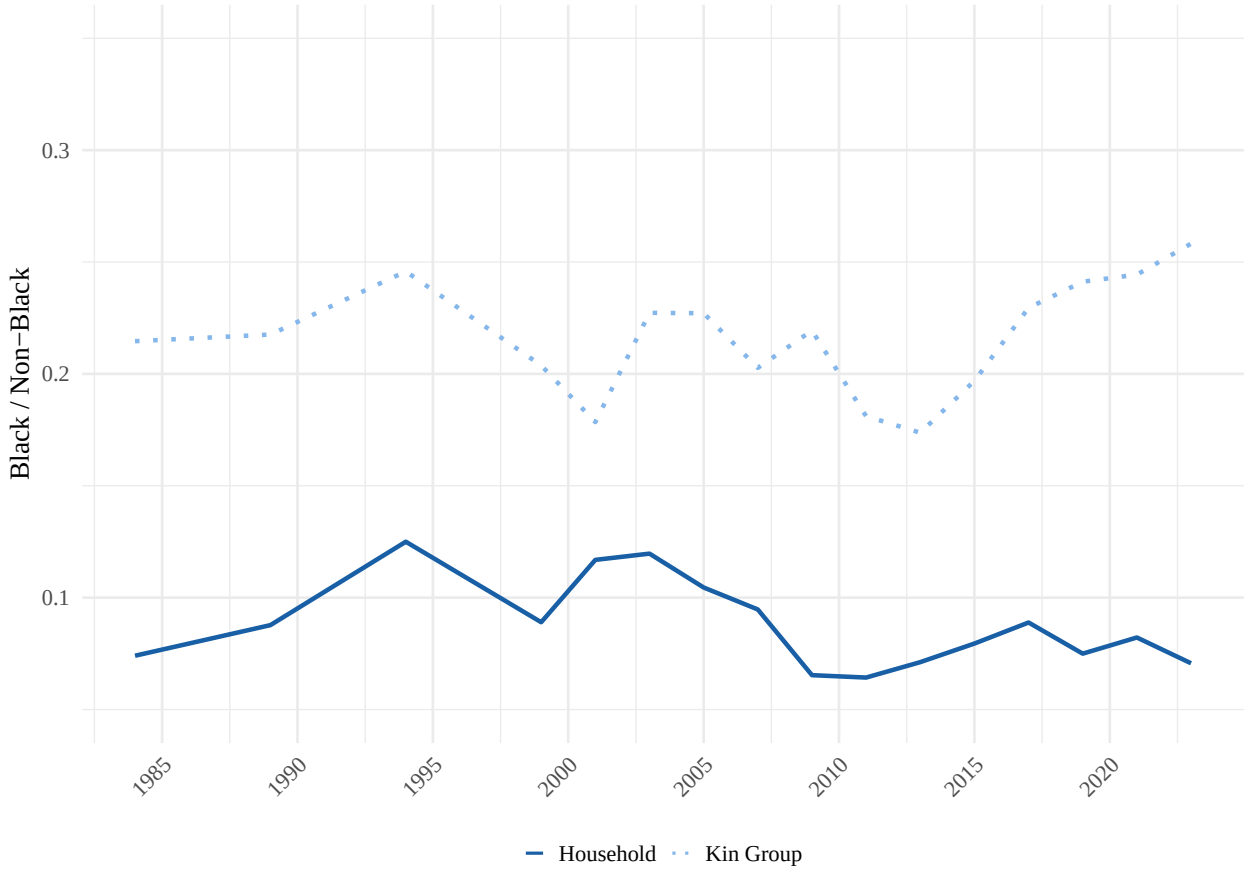


Note: Lorenz curves are estimated using PSID family and kin group weights. In 1984, median (mean) income was $67,610 ($83,003) for households and $215,901 ($256,202) for kin groups; in 2023, it was $68,280 ($103,519) for households and $366,368 ($517,649) for kin groups. Median (mean) wealth was $67,451 ($234,246) for households and $337,166 ($669,994) for kin groups in 1984, compared with $131,000 ($570,104) and $976,000 ($2,450,278), respectively, in 2023. Wealth measures include home equity. Negative income and wealth values are set to zero when constructing Lorenz curves but retained when calculating the reported medians and means. All estimates are weighted, adjusted for inflation, and expressed in 2023 dollars.

The racial wealth gap at the household and kin group levels. Figure 3 depicts the racial wealth gap using both households and kin groups. The gap is persistent and sizable regardless of the unit of analysis. The typical Black household holds 9 cents for every dollar of wealth held by the typical non-Black household across the survey period (ranging from 12 cents in 1994 to 6 cents in 2011). The typical Black kin group holds 22 cents for every dollar held by the typical non-Black kin group (ranging from 26 cents in 2023 to 17 cents in 2013). The ratio between Black and non-Black median wealth when measured at the kin group level is thus around ten percentage points lower than the equivalent ratio measured at the household level.

These gaps largely persist throughout the 1984-2023 period, but fluctuate differently by unit of analysis. The kin group-level ratio declines before reversing around 2013. The household-level ratio, meanwhile, fluctuates more modestly and approaches its minimum in 2023.

Figure 3. Black / Non−Black Median Wealth Ratio: Households vs. Kin Groups



Note: Lines show the ratio of Black to Non-Black wealth for households and kin groups. Wealth measures include home equity and use weighted medians. Across all years, weighted median (mean) wealth is $4,968 ($53,696) for Black households and $59,056 ($278,217) for Non-Black households. For kin groups, the weighted median (mean) wealth is $45,578 ($93,124) for Black kin groups and $228,740 ($501,352) for Non-Black kin groups. Negative wealth values are set to zero for calculating race ratios, but are retained in the mean and median estimates reported here. Estimates are weighted, adjusted for inflation, and expressed in 2023 dollars. The median ratio changed by -4.6% for households (0.074 in 1984 to 0.071 in 2023) and 20.3% for kin groups (0.215 to 0.258). On average across all years, the median wealth ratio for kin groups is 0.128 higher than for households. See Appendix E1 for mean wealth ratios.

Discussion

Our analyses explored what income and wealth inequality in the U.S. look like when examined not only at the household level but also at the level of intergenerational extended families. We found that income and wealth inequality appear high both when examining society as a collection of households (the standard in the literature) and when examining society as a collection of kin groups. For the most part, income and wealth inequality are 20-30 percent lower when measured at the kin group- rather than the household-level, as per Gini coefficients. Likewise, we find that the median racial wealth gap between Black and non-Black families is high and persistent, whether measured at the household or kin group levels. Kin group racial wealth gaps are roughly ten percentage points lower than household gaps between Black and non-Black households. In other words, extended families are somewhat more economically similar to one another, on average, than households, but economic inequality is still severe on the kin group level.

Our analyses complement existing scholarship on income and wealth inequality, which typically measures inequality at the household level (or in some cases the individual level). Our goal is not to diminish the

importance of households as units of analysis, but to demonstrate that examining multiple units—including both households and kin groups—yields a more complete understanding of inequality as a complex social phenomenon. In principle, inequality between households could be very high even if inequality between kin groups were low. In the United States over the past 55 years, however, we observe substantial inequality at the kin group level as well.

The choice to examine both households and kin groups as analytical units matters because different historical periods may generate inequality at different levels of social organization, a pattern reflected in our findings. For example, our analyses showed that kin group-level income inequality increased more rapidly than household-level income inequality over the study period. By contrast, trends over time in household and kin group wealth inequality were similar. This divergence over time between income and wealth patterns across levels of analysis may reflect the cumulative nature of wealth, which is more durably concentrated within kinship networks [11, 14, 21], or limitations of the PSID's coverage of the top of the wealth distribution, where much wealth inequality is generated. Together, these patterns reinforce the importance of examining inequality at multiple levels of social organization.

The patterns documented in our paper should not be interpreted as evidence that inequality in the U.S. is somehow less severe than previously understood. Ultimately, inequality between households is nested in, and compounds with, inequality between kin groups. It is thus important to understand how the two, and for that matter individual-level inequality as well, interact to shape overall inequality. It is possible that families behave differently along the economic distribution, as our Lorenz curves suggest. If, for example, kin groups in the middle of the distribution have different motivations for accumulating wealth than those at the top, they may also spread resources differently within kin groups, across households [22]. To fully understand patterns of inequality, we must examine interactions across levels.

One possible mechanism shaping differences between household and kin group inequality, for both income and wealth, is intergenerational mobility. Mechanically, lower mobility between households produces greater homogeneity within kin groups; low mobility means descendants' households mimic the status of their ancestors, producing kin groups made up of similar households. Higher mobility would have the opposite effect. Persistently high inequality at both the household and kin group levels indicates that mobility has not been high.

Additionally, high kin group inequality may further reduce mobility. If extended family members are important for upward mobility, high inequality across kin groups means that lower-resourced households have less access to higher-resourced households within their kin group. In other words, the prevalent concern that high inequality undermines intergenerational mobility [23–25] may operate on both the household and kin group levels, fueling future patterns of inequality.

Although our analyses focused on the macro level, they highlighted a clear need for additional research on how extended families structure social life at the micro level. One key question raised by our findings concerns the prevalence and scale of resource transfers within extended families, an issue beyond the scope of this study. Our findings demonstrate that understanding economic inequality requires moving beyond a sole focus on households to also account for the extended family structures through which resources, advantage, and disadvantage are transmitted across generations.

Methods

Data and sample. We use the genealogical design of the Panel Study of Income Dynamics (PSID) to compare estimates of inequality when using households and kin groups as the unit of analysis. The PSID began in 1968, surveying families annually until 1997 and biennially thereafter. It follows descendants of the original sample across generations and maintains a nationally representative sample of individuals and households. PSID data produce estimates that mostly align with other national surveys [19].

The PSID facilitates two linked units of analysis: households and kin groups. Households consist of economically interdependent individuals living in the same dwelling, with one member reporting income and wealth data for all members. Household membership changes over time with transitions such as divorce or

childbirth. The PSID does not uniquely identify households across years. Households can only be linked over time using the individuals within them. We refer to household observations as household-years.

In contrast, PSID kin groups can be identified over time. Kin groups include all descendants of households sampled in 1968, linked through a PSID-generated identifier, which we call a kin group identifier. Households added after 1968 receive their own kin group identifier upon entry, which uniquely identifies them and their future descendants. Once an individual in the PSID is assigned a kin group identifier through birth, marriage, or adoption, the individual belongs to the same kin group for all years they remain in the PSID sample. In practice, this means that kin groups are comprised of households linked by birth, marriage, and adoption spanning multiple generations and extended kin ties (grandparents, aunts, uncles, and cousins, and in some cases great-grandparents, great-uncles, second cousins, and so on). A small number of households (134 household-years) contain couples from different kin groups, meaning two descendants of the original PSID sample married each other. These household-years were assigned to both kin groups.

The PSID has collected income data since its inception but began collecting wealth data only in 1984. As a result, analytic samples differ: income analyses include 242,200 household-years and 64,292 kin group-years, representing 2,906 unique kin groups. Wealth analyses include 122,069 household-years and 26,655 kin group-years, representing 2,636 unique kin groups.

Measures of income and wealth. We measure both income and wealth to capture distinct dimensions of economic inequality. This choice follows research identifying divergent patterns depending on the economic indicator used because the mechanisms driving wealth inequality are distinct from those driving income inequality [5, 18, 21]. Aggregate measures for income and wealth are provided by the PSID. Income includes earnings, asset income, transfers, and income from farming. Wealth includes non-primary real estate, business equity, stocks, bonds, vehicles, retirement accounts, and bank accounts, and includes home equity.

The PSID imputes missing income and wealth components. Concerns about measurement error, especially for wealth, are minimal, as the PSID imputation methods explain little variation in wealth over time [21, 26]. All income and wealth values are adjusted for inflation.

To construct kin group-level measures, we aggregate household income and wealth for all households in a kin group within each kin group-year. We divide measures by the number of people in a household or the number of households within a kin group to standardize by household and kin group size, respectively.

Measures of race. The PSID collects race data from household heads and, in some years, from spouses. If a respondent ever identifies as Black, then that value is imputed for all years that respondent appears in the data [27]. Black households are all households with a Black head of household. Black kin groups are kin groups in which more than half of the households within it identify as Black.

Analyses by race and ethnicity are limited to Black and non-Black categories because the PSID has relatively few kin groups (2,906 for income and 2,636 for wealth). The PSID's genealogical design means survey respondents reflect the demographics of the United States at the time the survey began in 1968, which constrains analyses of kin groups for demographic groups that were not prominent then, namely Asians and Latinos. Although the PSID incorporated additional samples over time to reflect changing U.S. demographics, ethnicity analyses remain limited because Hispanic/Latino households do not form consistent multigenerational lineages across the full panel and therefore have fewer kin groups. Thus, our findings are generalizable to descendants of Black and White Americans in 1968.

Indexing inequality with the Gini coefficient. Inequality is measured using the standard Gini coefficient, which ranges from 0 (perfect equality) to 1 (perfect inequality). Conceptually, the Gini can be understood as the average difference between any two units in a population. Arithmetically, it is the average absolute difference between all pairs of observations, normalized by the mean.

Gini coefficients are calculated separately for income and wealth to reflect their distinct dimensions of inequality. Gini estimates in our data are comparable to estimates from other studies, though wealth coefficients vary more, likely because the PSID excludes the wealthiest households (see Appendix A).

The racial wealth gap. Scholars have also documented a persistent racial wealth gap between Black and non-Black households [5, 28] that is not captured by the Gini coefficient, as well as the unique role of kinship

networks in shaping economic outcomes by race [29, 30]. Because aggregate inequality measures can obscure these group-based differences, we supplement household and kin group Gini coefficients with ratios of median wealth by race [28, 31, 32], the most common measurement for the racial wealth gap in the United States. Similar to the Gini, we juxtapose median wealth ratios based on kin group-level values with those based on household-level values.

We report racial wealth gaps using medians to account for wealth's right-skew [5, 33, 34]. Specifically, we report the ratio of Black median wealth to non-Black median wealth, where a value of 1 indicates equal median wealth across racial categories. Values below 1 indicate that Black households or kin groups hold less wealth than their non-Black counterparts. Such values can also be interpreted as cents held by Black households or kin groups for every dollar held by non-Black households or kin groups.

Weighting strategy. All results are weighted using household-level weights provided by the PSID, and kin group weights that we construct. Unweighted measures produce substantively similar results to those presented in the main findings (see Appendix D3 and E3).

PSID-provided household weights are constructed from individual weights using the fair shares method, which assumes the probability of observing any individual within a family equals the probability of observing the family itself.[2] We apply the same logic to create kin group weights. Using a fair shares method, we use household weights to create kin group weights in which the probability of observing a household within a kin group equals the probability of observing the kin group itself. As a result, each kin group's influence reflects the average household within that kin group, rather than scaling mechanically with the kin group's total number of households. Because household weights are constructed first from individual weights, they carry forward PSID adjustments for attrition and nonresponse into kin group measures.

Kin group weights address challenges with comparing measures of inequality at the kin group level. The PSID began with a nationally representative sample of households and measured kin groups by following their descendants as they formed new households. Kin groups in the PSID are not necessarily nationally representative of kin groups in the United States. Instead, they are the extended families of a nationally representative sample of households in 1968.

Formally, let person i live in household h, which belongs to kin group c. With w_i the PSID individual weight, n_h the number of individuals in household h, and m_c the number of households in kin group c, household and kin group weights are respectively calculated as:

$$W_h = \frac{1}{n_h} \sum_{i \in h} w_i, \qquad W_c = \frac{1}{m_c} \sum_{h \in c} W_h.$$

Sensitivity analyses. We assess the robustness of our results through a series of sensitivity analyses.

Does Aggregation Mechanically Reduce Inequality? Evidence from Simulated Data. Using kin groups as the unit of analysis requires aggregating households into kin groups. If households were hypothetically distributed into kin groups at random with respect to their economic attributes, inequality between kin groups could be low even in the context of high between-household inequality. If between-household correlation of economic attributes were high within kin groups, inequality between kin groups would be higher. One might think that aggregating households mechanically smooths variation and therefore lowers the Gini coefficient at the kin group level. However, this is not the case: using simulated data, Appendix C shows that kin-group-level Gini coefficients can equal or even exceed household-level Gini coefficients. Aggregating households into kin groups more often decreases than increases observed inequality, but the direction and magnitude of the change depends on the relationship between the distribution of resources across households, kin group size, and the selection of households into kin groups.

Robustness to measurement choices. The gap between household- and kin-group-level inequality is not an artifact of specific measurement decisions. Excluding home equity from wealth lowers estimated inequality at both levels but leaves the household–kin group difference largely unchanged (Appendix D1, E1). Including rather than zeroing out negative income and wealth values leaves Gini coefficients essentially unchanged

[2] See PSID technical report.

(Appendix D2, E2). Applying versus omitting survey weights does not substantially change results (Appendix D3, E3). The pattern also holds under alternative inequality measures that place greater or lesser weight on the tails of the distribution rather than the middle, as the standard Gini does (Appendix B).

Robustness of racial disparities. The household–kin group gap in inequality holds separately for Black and non-Black families (Appendix D7). For the racial wealth gap itself, results are robust across the same measurement and composition checks described above, with one exception: using mean rather than median wealth makes the household- and kin-group-level racial wealth gaps converge, because a small number of high-wealth Black households pull the household-level mean upward (Appendix E7). We report medians for this reason.

How Black kin groups are defined could drive differences in observed racial wealth gaps at the kin group and household levels. Because kin groups span multiple households, they are more likely than individual households to include non-Black individuals. In 2023, 22.3% of Black kin groups included at least one non-Black head or spouse, compared with 4.6% of Black households with a non-Black spouse. However, accounting for the number of households within each kin group, the prevalence of non-Black heads or spouses is approximately 0.050 per household, similar to the rate observed among Black households. Thus, the greater prevalence of non-Black individuals in Black kin groups largely reflects their larger size rather than higher rates of interracial partnership within select kin groups.

The racial wealth gap is also robust to alternative definitions of Black kin groups. In our main analyses, we classify kin groups as Black if more than half of the households within them are Black. However, the racial wealth gap remains about the same when using alternative thresholds (Appendix E8).

Robustness to kin group size and age. Kin groups grow larger and older over the study period. This partly reflects the PSID's genealogical design: because descendants only enter a kin group once they respond to the survey independently, kin groups are mechanically smaller and younger in the survey's early years, before descendants had left home or begun independent households. It also partly reflects genuine demographic change in American society — later home-leaving, declining fertility, and increasing longevity — which independently reduces household size and increases kin group size over time (Appendix F1, F2). We cannot fully disentangle survey design from demographic change as the source of these shifts, but we assess robustness to both.

First, our main analyses standardize income and wealth by household and kin group size before calculating Gini coefficients. As a robustness check, we also estimate unstandardized results: inequality is higher without size standardization, and the household–kin group gap is smaller, but household-level Gini coefficients remain higher than kin-group-level Gini coefficients regardless of whether measures are size-adjusted (Appendix D4, E4).

Second, because the U.S. population is aging generally, we apply an additional age weight — downweighting older households and kin groups relative to their share of the sample — to test whether the changing age structure of the United States drives our results. EEstimates when weighting to correct age differences are substantively similar to our main results (Appendix D6, E6). It is likely that findings with and without age weights are consistent because the average age of households and kin groups has increased at roughly the same rate since 1990 (Appendix F3). Together, these checks indicate that differences in observed inequality between households and kin groups are not an artifact of changes in kin group size or age, whether those changes stem from survey design or broader demographic trends.

In our main analyses, household and kin group income and wealth (x_h and x_c) are standardized by family size, and in the age-weighted sensitivity analysis each weight is further scaled by the ratio of the sample's mean age to the unit's mean age:

$$\tilde{x}_h = \frac{x_h}{n_h}, \qquad \tilde{x}_c = \frac{1}{m_c}\sum_{h \in c} x_h, \qquad W_h^{\text{age}} = W_h \cdot \frac{\bar{a}_H}{a_h}, \qquad W_c^{\text{age}} = W_c \cdot \frac{\bar{a}_C}{a_c},$$

where a_h is the average age of members of household h, a_c is the average age of kin group c, and $\bar{a}_H$ and $\bar{a}_C$ are their respective sample means.

Robustness to single-household kin groups. A related consequence of the PSID's genealogical design is that kin groups in the early survey years are more likely to consist of a single household, since descendants had not yet formed independent households of their own; the prevalence of single-household kin groups fell 75% between 1969 and 1980. Single-household kin groups can also arise later in the survey through nonresponse or attrition. However, we find that the number of kin groups including or excluding single-household kin groups remains stable after 1980 (see Appendix F4).

Because household- and kin-group-level measures are identical by construction for single-household kin groups, including them in the analysis mechanically shrinks the household–kin group gap — not because inequality is genuinely more similar across units, but because a share of "kin groups" are, by definition, households. For this reason, our main analyses exclude single-household kin groups.

As a robustness check, we report results with single-household kin groups included: the household–kin group gap narrows for both income and wealth, but is not eliminated (Appendix D5, E5). Single-household kin groups are most prevalent from 1969 to 1980. Because the PSID did not begin collecting wealth data until 1984, the prevalence of single-household kin groups during this period could affect only measures of income inequality, not wealth inequality. However, Figure 1 shows that the income-inequality gap between households and kin groups remains consistent from 1981–2023. We also re-estimate results excluding 1969–1980, the period in which single-household kin groups are most prevalent; overall trends remain similar regardless of whether this period is excluded.

Limitations. The finding that inequality is 20-30% lower at the kin group level than at the household level is robust across racial groups and alternative measurement choices, and does not appear to be driven by demographic changes in family size or age composition. Nevertheless, our analysis has several limitations.

First, our estimates are not representative of all kin groups in the United States. Rather, they are based on kin groups constructed from a sample of Black and white households that was nationally representative in 1968. Hispanic and Asian Americans, as well as recent immigrants, constitute substantial segments of the American population. Patterns of inequality at the kin group level may differ for these groups.

Second, other factors may influence which kin groups are observable in the PSID. The PSID constructs kin groups by following descendants of households originally included in the survey. PSID-provided weights adjust for attrition at the individual level to account for individuals who leave the study or do not respond to survey outreach. To minimize attrition, the PSID sometimes provides incentives to kin group members who encourage other family members to participate in the survey. Consequently, attrition may not occur independently across members of the same kin group. It remains unclear whether individuals who attrit differ systematically from those who remain in the study in ways that affect the composition and characteristics of observable kin groups. Although individual-level weights form the basis for household and kin group weights, these may not fully account for potential selection into which kin groups are observable. Despite these limitations, our findings underscore the importance of considering kin groups as a unit of analysis when studying economic inequality.

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